

future. The way we network our homes, the way we're embracing the digital lifestyle, is where the world is going. Under the HED, there are actually two separate divisions. One of them is tied into the hardware, PC games, consumer software, and the Mac Office. In the other category, tied into the entertainment area, is the Xbox product. Here, we have Xbox games, the Xbox Live! service, and more.

For India, in the short term, we're focusing on the hardware area. Moving into the second quarter, we're getting games.

D: Why did Microsoft pull out of the gaming peripherals market? Your products were considered among the best.

YC: Well, a study we undertook revealed that the preferred input device for gamers continued to remain the keyboard and mouse. It was pretty surprising to us too, but there you have it.

MA: The gaming peripheral market has suffered a two digit drop in sales across the board. We've decided to focus on quality input devices like keyboards and mice instead, and our September launch reflects that.

D: Microsoft has a great track record at working with third-party manufacturers, to come up with standards for the industry. Why do you feel the need to manufacture input devices? Dedicated peripheral manufacturers such as Logitech are making equally good devices at even lower prices?

YC: We've actually been around much longer than Logitech in the area of input devices. We have several firsts to our credit. The first optical mouse, Microsoft's Intellimouse Explorer; the first keyboard with a non-standard design meant to offer the best in ergonomics with the Microsoft Natural Keyboard.

MA: Ensuring full compatibility with the hardware you use, and the best possible experience for the consumer is what we're aiming at.

D: When do you plan to launch the Xbox in India, considering that the PS2 is already here?

YC: We'd like to see how the PS2 does first! A large part of our efforts are directed at the Xbox Live! service, which is based on a subscription model. For this to work in India, broadband access needs to reach a certain level of mass acceptance.

Another major factor is the perception of consoles like the Xbox. Parents in this country perceive the PC as an educational tool their child can use. Then that same PC is used for playing games.

The perception needs to change. We're waiting to see how this market shapes up, how it matures.

D: The entertainment division is a leading loss-maker for Microsoft (especially the Xbox). Ken Kuataragi, CEO SCE, even said that the Xbox is not competition to the PS2 because Microsoft is losing money hand-over-fist on the hardware. What's is your response to that?

YC: The Xbox is much more than a gaming console. We've invested billions of dollars into the Xbox program over a period of several years, and we're in it for the long run.

We don't aim to make money off the Xbox hardware. We work closely with developers to ensure quality software for the Xbox. A major source of income is the Xbox Live! subscription service. Here too, there's a lot of collaboration with game developers, as well as revenue-sharing.

D: The Xbox 2's hardware is a major departure from the Xbox. The Xbox was essentially a half-priced PC, while the Xbox 2 is heavily customised—rumoured to have an IBM Power PC CPU, ATi GPU and SiS chipset. Will it be backward compatible?

YC: It's still early days for the Xbox. There's a lot of research going on into the Xbox series, so it's a little too early to say anything about the Xbox 2.

D: Is there any chance we will see the entry of MMORPGs (Massively Multiplayer Online Role Playing Games) in India?

MA: An MMORPG requires a lot of infrastructure to run—broadband connections, servers, a billing engine, and so on. Currently, all of these are missing in India. The biggest impediment currently, is the lack of broadband access for home users.

D: Reliance has such a system in place; you're even using it to conduct the Halo contest. Reliance should be happy to have people spending hours at its stores.

MA: Yes, but Reliance has a pay-per-play model, while MMORPGs call for a subscription model.

True, but being the giants they are, surely Reliance and Microsoft can team up to work out a viable solution.

MA: I guess they can. We'll have to see about that... ■



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Indian game prices are actually among the lowest in the world. The factors of a negative dollar-rupee conversion and the lower purchasing power are taken into account while fixing the price

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